

Company Law

Course: CPA — Certified Public Accountant

Level: Intermediate Level 1

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Syllabus version: Based on the standard KASNEB CPA Intermediate Level Company Law syllabus topics — incorporation, share capital, directors' duties, meetings, and winding up. Authored from general professional company-law knowledge and standard syllabus topic coverage, not copied from any existing notes provider or study guide. Company law is governed in Kenya primarily by the Companies Act, 2015 — cross-check every statutory reference against the current Act and any amending legislation before the exam.

Original work notice. Every explanation, worked example, and question in this document was written from scratch for this paper. No text has been copied or paraphrased from any KASNEB past paper, textbook, or third-party notes/study guide. The scenarios and practice questions are original.

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1. Nature and types of companies

A **company** is a legal entity, incorporated under the Companies Act, that exists separately from the people who own and run it. This separate legal personality is the foundation of company law: a company can own property, sue and be sued, and enter contracts in its own name, distinct from its shareholders and directors.

Common classifications:

- **Private company** — restricts the right to transfer its shares, limits its membership, and cannot invite the public to subscribe for its shares or debentures.
 - **Public company** — may offer its shares to the public and, if listed, is subject to additional securities-market regulation.
 - **Company limited by shares** — members' liability is limited to any unpaid amount on their shares.
 - **Company limited by guarantee** — members' liability is limited to an amount they agree to contribute if the company is wound up (common for non-profit entities).
 - **Unlimited company** — members have unlimited liability for the company's debts (relatively rare in practice).
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2. Incorporation of a company

Incorporation is the legal process of bringing a company into existence. Typical requirements:

- Reservation of a company name that is not identical or too similar to an existing registered name.
- Preparation and filing of the company's constitutional documents (commonly a memorandum and articles of association, or a single constitution document depending on the applicable framework).
- Filing of statutory registration forms with the Registrar of Companies, including details of directors, shareholders, and the registered office.
- Payment of the prescribed registration fees.
- Issuance of a **Certificate of Incorporation** by the Registrar — this is conclusive evidence that all registration requirements have been complied with, and marks the point at which the company becomes a distinct legal person.

Promoters and pre-incorporation contracts: A **promoter** is a person who takes steps to form a company. Contracts entered into on behalf of a company before it is incorporated are generally not binding on the company once formed (since the company did not exist and could not have authorised them) — the promoter is typically personally liable on such a contract, unless the parties agree otherwise or the company later ratifies/adopts the contract after incorporation, or specific statutory provision allows the company to adopt it.

3. The corporate veil and its exceptions

The principle of **separate legal personality** ("the corporate veil") means the company, not its shareholders or directors, is legally responsible for its own debts and obligations — a shareholder's loss is generally limited to their investment.

Courts and statutes recognise limited exceptions where the veil may be **lifted** (i.e. the law looks through the company to the individuals behind it), commonly where:

- The company was formed or used as a sham/façade to evade an existing legal obligation or to commit fraud.
- Statute expressly imposes personal liability in specific circumstances (e.g. certain instances of fraudulent or wrongful trading by directors during insolvency).
- A group of companies is treated, in narrow circumstances, as a single economic unit for a specific statutory or regulatory purpose.

These exceptions are narrow — separate legal personality remains the default rule, and courts are generally reluctant to lift the veil outside recognised categories.

4. Share capital and membership

- **Share** — a unit of ownership in a company, representing a bundle of rights (commonly voting rights, a right to dividends, and a right to a share of surplus assets on winding up).
 - **Authorised/nominal share capital** — the maximum share capital a company is permitted to issue under its constitution (a concept that has been relaxed or removed in some modern company-law reforms, replaced by tracking only shares actually issued).
 - **Issued share capital** — the shares actually allotted to shareholders.
 - **Ordinary shares** — carry standard voting and dividend rights, generally the last to be paid on a winding up.
 - **Preference shares** — typically carry a fixed dividend rate and priority over ordinary shares for dividends and/or capital repayment, but often with restricted or no voting rights.
 - **Membership** — a person becomes a member of a company by agreeing to become one and having their name entered in the company's register of members; membership carries rights such as attending and voting at meetings, and receiving dividends declared.
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5. Directors: appointment, duties, and removal

Appointment: Directors are typically first named in the incorporation documents, and subsequently appointed or re-elected by the members in a general meeting, in line with the company's constitution.

Core duties a director owes to the company (not to individual shareholders directly):

- **Duty to act within powers** — exercise powers only for the purposes for which they were conferred, in accordance with the company's constitution.
- **Duty to promote the success of the company** — act in the way the director considers, in good faith, would be most likely to promote the success of the company for the benefit of its members as a whole.
- **Duty to exercise independent judgment.**
- **Duty to exercise reasonable care, skill, and diligence.**
- **Duty to avoid conflicts of interest**, and to disclose any interest, direct or indirect, in a proposed transaction or arrangement with the company.
- **Duty not to accept benefits from third parties** conferred by reason of being a director.

Removal: Members can generally remove a director before the expiry of their term by ordinary resolution at a general meeting, following the statutory notice procedure, and the director concerned is usually entitled to be heard before the vote.

6. Company meetings

- **Annual General Meeting (AGM)** — a meeting a company (commonly, public companies and some categories of private company) must hold once in each calendar year, dealing with routine business such as approving accounts, declaring dividends, and appointing/re-appointing directors and auditors.
- **Extraordinary General Meeting (EGM)** — any general meeting other than the AGM, called to deal with specific business that cannot wait until the next AGM.
- **Notice** — members must be given the statutorily required minimum notice period (and the notice must state the general nature of the business to be transacted).
- **Quorum** — the minimum number of members (in person or by proxy) required to be present for the meeting to validly transact business, as fixed by the constitution or default statutory rule.
- **Resolutions** — an **ordinary resolution** requires a simple majority of votes cast; a **special resolution** (for more significant decisions, e.g. altering the constitution) requires a higher majority (commonly a supermajority such as 75%) and generally requires specific advance notice of the intention to propose it as a special resolution.

- **Minutes** — a written record of proceedings at a meeting, which the company is required to keep and which serves as evidence of what was validly resolved.
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7. Company borrowing and charges

Companies commonly borrow against assets by creating a **charge** (a form of security) over company property:

- **Fixed charge** — attaches to a specific, identified asset (e.g. a particular building); the company cannot deal with that asset without the chargeholder's consent.
 - **Floating charge** — hovers over a class of changing assets (e.g. stock-in-trade), allowing the company to deal with those assets in the ordinary course of business until the charge "crystallises" (e.g. on default or winding up), at which point it fixes onto the assets then held.
 - **Registration of charges** — most charges must be registered with the Registrar of Companies within a prescribed period; an unregistered charge that should have been registered is generally void against a liquidator and other creditors (though the underlying debt itself typically remains owed).
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8. Winding up and dissolution

Winding up (liquidation) is the process of bringing a company's life to an end — realising its assets, paying its debts in the statutory order of priority, and distributing any surplus to members — after which the company is dissolved (struck off the register) and ceases to exist.

Common categories:

- **Voluntary winding up** — initiated by the company itself (members' voluntary winding up, where the company is solvent, or creditors' voluntary winding up, where it is not).
- **Compulsory (court-ordered) winding up** — a creditor, member, or other qualifying party petitions the court to wind up the company, commonly on the ground that the company is unable to pay its debts.

Order of priority on liquidation (simplified, general principle): secured creditors with a fixed charge are typically paid first out of the proceeds of the charged asset; then the costs of the liquidation itself; then certain preferential creditors (e.g. specific employee claims, as defined by statute); then floating-charge holders; then unsecured/ordinary creditors; and finally, any surplus is distributed to members according to their class of shares.

9. Full worked question — pre-incorporation contracts and the corporate veil

Scenario. Before Nia Enterprises Ltd was incorporated, its promoter, Wanjala, signed a contract on the company's behalf to lease office premises, describing himself as acting "for and on behalf of Nia Enterprises Ltd (in formation)." The company was incorporated three weeks later. The landlord now wants to enforce the lease and is unsure whether to sue the company or Wanjala personally.

Required: Advise the landlord on who is liable on the pre-incorporation contract, and what steps could change that position.

Solution:

- At the time the contract was signed, Nia Enterprises Ltd did not yet exist as a legal person — it therefore had no capacity to be a party to any contract, and could not have authorised Wanjala to act as its agent.
- The general rule is that a person who purports to contract on behalf of a company not yet in existence is **personally liable** on that contract, regardless of how they described their capacity in signing it.
- The landlord's primary recourse, therefore, is against **Wanjala personally**, not the now-incorporated company.
- The position can change only if: (a) the company, once incorporated, and the landlord agree to a **novation** — a new contract on the same or varied terms, replacing the old one and substituting the company as the contracting party in place of Wanjala; or (b) a specific statutory provision in the applicable law allows the company to adopt/ratify the pre-incorporation contract, in which case liability may shift as that provision specifies.
- Simply incorporating the company, without more, does **not** automatically make the company liable on a contract signed before it existed.

10. Practice examination — KASNEB-style paper (original, not a past paper)

Note on format. This section is laid out the way a KASNEB CPA Company Law paper is laid out — a timed paper with five compulsory 20-mark questions — purely so you can practise under realistic exam conditions. Every question below is an original scenario written for this document. **It is not a reproduction of any actual KASNEB past examination paper.**

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings/reasoning clearly.

QUESTION ONE

- (a) Distinguish between a private company and a public company. (6 marks)
- (b) Explain the effect of a Certificate of Incorporation. (6 marks)
- (c) Explain the general rule on liability for pre-incorporation contracts, and state one way that liability can be shifted to the company. (8 marks)

(Total: 20 marks)

QUESTION TWO

- (a) Explain the doctrine of separate legal personality. (6 marks)
- (b) Explain THREE circumstances in which the corporate veil may be lifted. (9 marks)
- (c) Explain why courts are generally reluctant to lift the corporate veil outside recognised categories. (5 marks)

(Total: 20 marks)

QUESTION THREE

- (a) Outline FIVE duties a director owes to their company. (10 marks)
- (b) Explain the procedure by which members may remove a director before the expiry of their term. (6 marks)
- (c) Explain why a director's duties are owed to the company itself rather than to individual shareholders. (4 marks)

(Total: 20 marks)

QUESTION FOUR

- (a) Distinguish between an Annual General Meeting and an Extraordinary General Meeting. (6 marks)
- (b) Distinguish between an ordinary resolution and a special resolution. (6 marks)
- (c) Distinguish between a fixed charge and a floating charge, giving one example of an asset typically secured by each. (8 marks)

(Total: 20 marks)

QUESTION FIVE

- (a) Distinguish between a members' voluntary winding up and a creditors' voluntary winding up. *(8 marks)*
- (b) Outline the general order of priority in which claims are settled on a company's liquidation. *(8 marks)*
- (c) Explain the effect of dissolution on a company's legal existence. *(4 marks)*

(Total: 20 marks)

11. Marking guide — model answers to the practice examination

QUESTION ONE

- (a) *(6 marks)* — A private company restricts share transfers, limits membership, and cannot invite the public to subscribe for shares/debentures. A public company may offer shares to the public and, if listed, faces additional securities-market regulation.
- (b) *(6 marks)* — The Certificate of Incorporation is conclusive evidence that all registration requirements have been complied with, and marks the point at which the company becomes a distinct legal person, separate from its shareholders and directors.
- (c) *(8 marks)* — The general rule: the person who purports to contract on the company's behalf before it exists is personally liable, since the company had no legal capacity to authorise the contract. Liability can shift to the company via **novation** — a new agreement, after incorporation, substituting the company as the contracting party in place of the promoter (or via specific statutory adoption/ratification provisions, where applicable).

QUESTION TWO

- (a) *(6 marks)* — The company is a legal person separate from its shareholders and directors — it can own property, sue and be sued, and contract in its own name, and a shareholder's loss is generally limited to their investment.
- (b) *(9 marks — 3 marks each, any three)* — Where the company was formed/used as a sham to evade an existing legal obligation or commit fraud; where statute expressly imposes personal liability in specific circumstances (e.g. fraudulent/wrongful trading during insolvency); where a group of companies is treated as a single economic unit for a narrow statutory/regulatory purpose.
- (c) *(5 marks)* — Separate legal personality is the foundational rule underpinning limited liability and predictable commercial dealing; treating it as easily displaced would undermine

the certainty investors and creditors rely on, so courts confine the exceptions to narrow, clearly justified categories.

QUESTION THREE

(a) *(10 marks — 2 marks each, any five)* — Duty to act within powers; duty to promote the success of the company; duty to exercise independent judgment; duty to exercise reasonable care, skill and diligence; duty to avoid conflicts of interest; duty not to accept benefits from third parties.

(b) *(6 marks)* — Members may remove a director before the expiry of their term by ordinary resolution at a general meeting, following the required statutory notice procedure, with the director concerned generally entitled to be heard before the vote is taken.

(c) *(4 marks)* — Directors' duties exist to protect the company as a whole (and thereby its members collectively and other stakeholders indirectly) rather than any individual shareholder's personal interest, consistent with the company's own separate legal personality.

QUESTION FOUR

(a) *(6 marks)* — An AGM is a meeting held once each calendar year dealing with routine business (approving accounts, dividends, appointing directors/auditors). An EGM is any general meeting other than the AGM, called for specific business that cannot wait until the next AGM.

(b) *(6 marks)* — An ordinary resolution requires a simple majority of votes cast. A special resolution is required for more significant decisions (e.g. altering the constitution), requires a higher majority (commonly a supermajority), and generally requires specific advance notice that it will be proposed as a special resolution.

(c) *(8 marks)* — A fixed charge attaches to a specific identified asset (e.g. a factory building), and the company cannot deal with it without the chargeholder's consent. A floating charge hovers over a changing class of assets (e.g. stock-in-trade), allowing normal dealing until it crystallises on a defined trigger event such as default or winding up.

QUESTION FIVE

(a) *(8 marks)* — A members' voluntary winding up is initiated by the company itself while it is solvent (directors typically make a statutory declaration of solvency). A creditors' voluntary winding up is also initiated by the company itself, but where it is not solvent, giving creditors greater control over the process.

(b) *(8 marks)* — Broadly: secured creditors with a fixed charge (from the proceeds of the charged asset) → costs of the liquidation → preferential creditors (as defined by statute) → floating-charge holders → unsecured/ordinary creditors → any surplus distributed to members per their class of shares.

(c) (4 marks) — Dissolution ends the company's legal existence entirely — it is struck off the register and ceases to be a legal person capable of holding property, suing, or being sued.

12. Exam technique and revision checklist

- Pre-incorporation contract questions: always identify who is personally liable first (the promoter), then explain the *specific* mechanism (novation, or a stated statutory adoption provision) by which liability could shift — a vague "the company can adopt it later" without naming the mechanism loses marks.
- Corporate veil questions: always start from the default rule (separate legal personality) before listing exceptions — examiners want to see you understand lifting the veil is the exception, not the norm.
- Directors' duties questions: name each duty precisely (not just "be honest" or "work hard") and, where asked to "explain," add one line on what the duty actually requires in practice.
- Meetings questions: always distinguish AGM vs EGM and ordinary vs special resolution by BOTH purpose and procedural requirement (majority threshold, notice) — a purpose-only answer is incomplete.
- Charges questions: always give a concrete example of an asset typically secured by a fixed vs a floating charge — this is where most of the marks sit in a "distinguish" question.
- Winding up questions: state the order of priority as an ordered list, not a jumbled paragraph — sequence is itself part of what's being tested.

Quick revision — one line per topic:

1. A company is a separate legal person from its shareholders and directors.
2. A promoter is personally liable on a pre-incorporation contract unless novation (or a statutory adoption provision) shifts it to the company.
3. The corporate veil may be lifted only in narrow categories: sham/fraud, specific statutory provisions, single-economic-unit treatment.
4. Ordinary shares carry standard rights; preference shares carry priority for dividends/capital but often restricted voting.
5. Directors owe fiduciary and statutory duties to the company, not to individual shareholders.
6. Directors can be removed early by ordinary resolution, following the required notice procedure.
7. AGMs are annual and routine; EGMs are called for specific business as needed.
8. Ordinary resolutions need a simple majority; special resolutions need a higher majority and specific notice.

9. A fixed charge attaches to a specific asset; a floating charge hovers over a changing class of assets until crystallisation.
10. On winding up, secured creditors and liquidation costs are typically paid before preferential and unsecured creditors, with members last.

End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus, the Companies Act, 2015, and examiner's reports for the paper.